

Business Performance and Recommendation Report

Data Analytics & Business Intelligence - Task 3 | Superstore Analysis | 2014-2017

Executive Summary

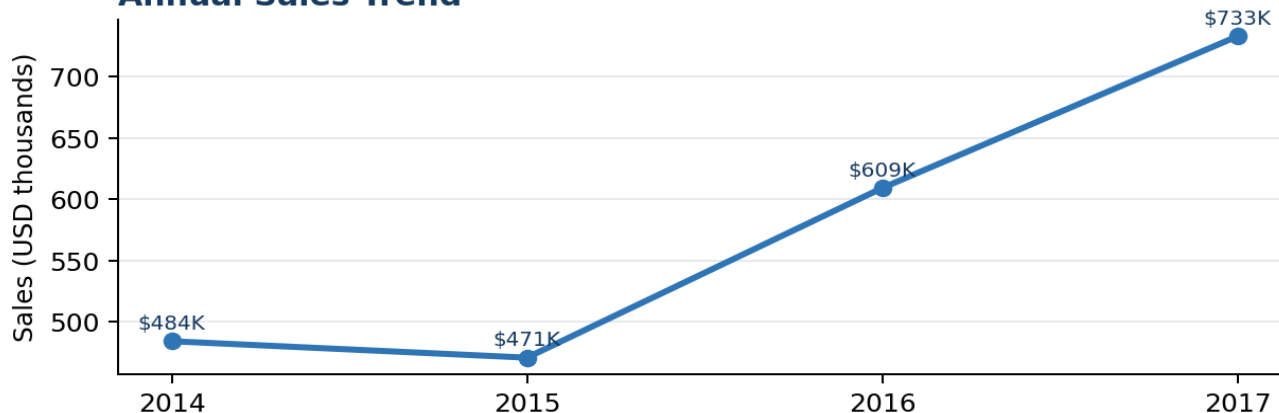
The analysis covers 9,993 order-line records, 5,009 unique orders and 793 customers. Total sales reached \$2,296,919.49 and profit reached \$286,409.08, producing a 12.47% overall margin. Annual sales grew strongly in 2016 and 2017, but monthly performance remained volatile. Profitability is concentrated in Technology and Office Supplies, while deep discounts and weak Furniture margins create material risk.

Total Sales	Total Profit	Profit Margin	Total Orders	Customers
\$2,296,919.49	\$286,409.08	12.47%	5,009	793

Growth and Variance

Year	Sales	Profit	Sales Growth
2014	\$483,966.13	\$49,556.03	-
2015	\$470,532.51	\$61,618.60	-2.78%
2016	\$609,205.60	\$81,795.17	29.47%
2017	\$733,215.26	\$93,439.27	20.36%

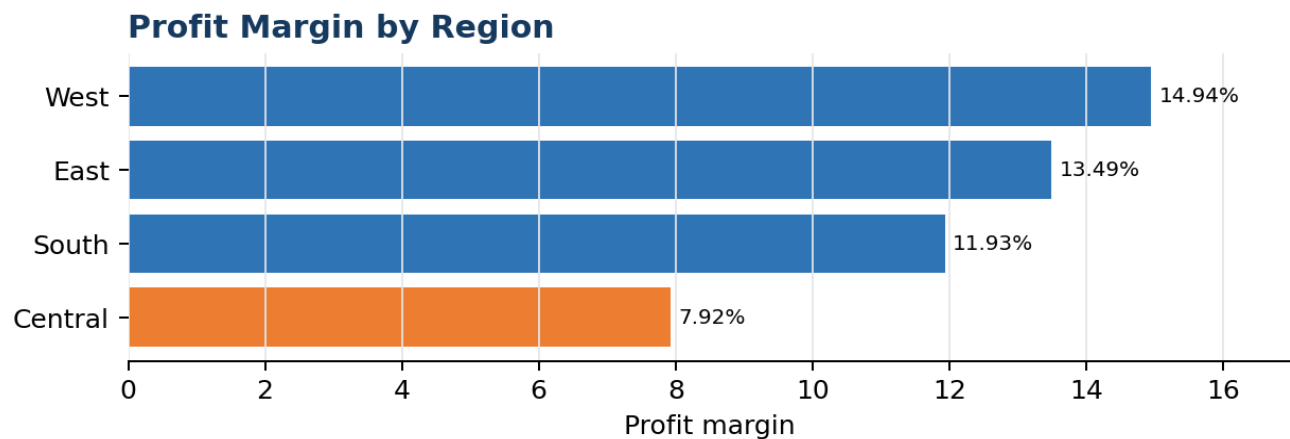
Annual Sales Trend



2017 sales increased 20.36% from 2016. However, the latest month fell 29.23%: December 2017 sales were \$83,829.32, compared with \$118,447.82 in November. The company is growing annually, but not consistently month over month.

Regional and Category Performance

Region	Sales	Profit	Margin	Sales Share
West	\$725,457.82	\$108,418.45	14.94%	31.58%
East	\$678,499.87	\$91,534.84	13.49%	29.54%
Central	\$501,239.89	\$39,706.36	7.92%	21.82%
South	\$391,721.91	\$46,749.43	11.93%	17.05%



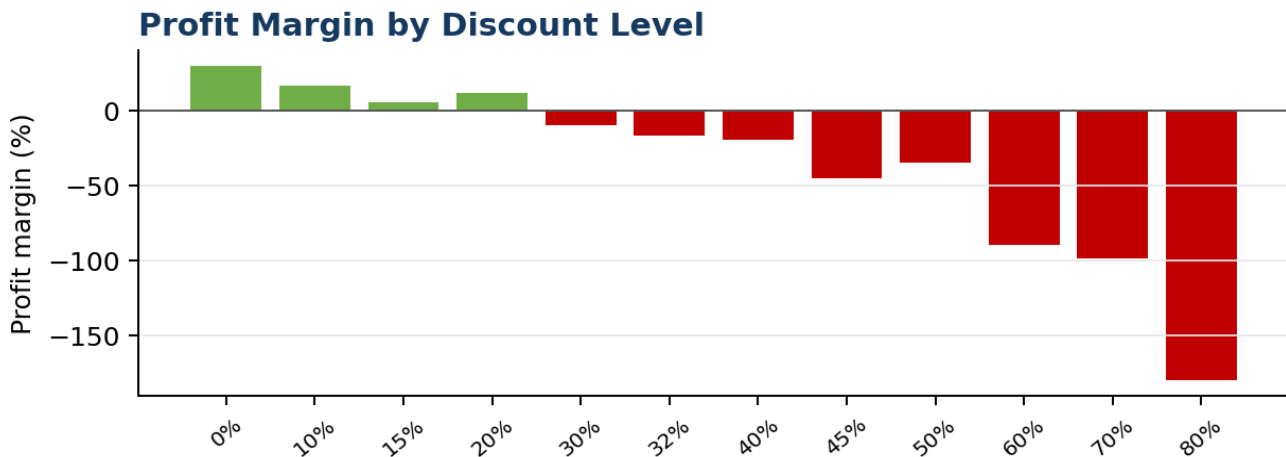
West leads sales and profit, while Central is the clearest underperformer. Central produces \$501,239.89 in sales but only \$39,706.36 in profit, giving it the lowest regional margin at 7.92%. Management should investigate Central's product mix, discounting, shipping cost and account profitability.

Category Growth and Profitability

Category	Sales	Profit	Margin	2017 vs 2016 Growth
Technology	\$836,154.03	\$145,454.95	17.40%	20.04%
Furniture	\$741,718.42	\$18,463.33	2.49%	8.29%
Office Supplies	\$719,047.03	\$122,490.80	17.04%	33.79%

Office Supplies recorded the highest category growth in 2017 at 33.79%, followed by Technology at 20.04% and Furniture at 8.29%. Technology remains the largest profit contributor with a 17.40% margin. Furniture requires attention because its margin is only 2.49% despite generating \$741,718.42 in sales.

Discount, Customer Segment and Management Actions



Discounts materially reduce profitability. Orders with no discount produce a 29.51% margin. Aggregate profit becomes negative at 30% discount and remains negative at every higher discount level. This does not prove that discount alone causes every loss, but it is a strong operational warning that high-discount orders need margin controls.

Segment	Sales	Profit	Margin	Revenue Share
Consumer	\$1,161,401.34	\$134,119.21	11.55%	50.56%
Corporate	\$706,146.37	\$91,979.13	13.03%	30.74%
Home Office	\$429,371.78	\$60,310.74	14.05%	18.69%

Consumer contributes the most revenue at 50.56% and is the priority for retention. Home Office is smaller but has the highest margin at 14.05%, making it suitable for targeted cross-sell and premium-service tests.

Answers to the Business Questions

1. Is the company growing month over month?

Not consistently. Annual sales grew 20.36% in 2017, but Dec 2017 declined 29.23% from Nov.

2. Which region is underperforming?

Central, with the lowest profit margin at 7.92%.

3. Which category has the highest growth?

Office Supplies, up 33.79% in 2017 versus 2016.

4. Are discounts reducing profit?

Yes. Aggregate margins turn negative at 30% discount and above.

5. Which segment contributes most revenue?

Consumer, with 50.56% of total sales.

Strategic Recommendations

1. Introduce approval and margin checks for discounts of 30% or more. Review category-level discount limits rather than applying one rule to every product.
2. Improve Furniture economics by reviewing pricing, shipping cost, supplier cost and loss-making sub-categories.
3. Create a Central region recovery plan focused on low-margin accounts, discount leakage and product mix. Track margin, not sales alone.
4. Protect growth in Office Supplies and Technology through inventory availability and targeted cross-sell campaigns.
5. Retain high-value Consumer customers while testing premium offers for the higher-margin Home Office segment.

Method and source: sample_-_superstore(4).xlsx, Orders sheet. Variance is current minus previous period. Growth is variance divided by previous-period sales. Category growth compares 2017 with 2016.